EXECUTIVE SUMMARY

INTRODUCTION

The agricultural sector is one of the backbones of the Zambian economy. With about 60% of the labour force in the agricultural. Agriculture plays a huge role in the livelihood of Zambians. The point of this analysis is to understand the performance of the agricultural sector in Zambia and understand the growth opportunities. Given the wide-reaching impact of the sector, improving its productivity represents an opportunity for sustainable economic growth, poverty reduction and the overall well-being of the Zambian people.

FINDINGS

- The agricultural sector currently falls short of its potential. The analysis highlights that despite the sector engaging about 60% of it's labour force, only about 5% of the arable land is utilized. Zambia has 238000 square metres of arable land compared to Malawi's 60000 and yet, Malawi makes 3 times more from Agriculture than Zambia does. This shows that with improved productivity in the sector; Zambia could go far.
- The sector in recent years has only contributed about 3% to the national GDP which is extremely low considering its yield potential and the share of the labour force in agriculture. The low level of output compared to the high number of people in the workforce means that many Zambians are working towards relatively little output. Although most developing countries have a high contribution of the agricultural sector to GDP, Zambia has the lowest agricultural contribution to GDP amongst its neighbours.
- Over the years, both the contribution of agricultural output to GDP and the ratio of the labour force engaged in agriculture has dropped. This could be due industrialization. However, focus on agriculture could increase the overall output of the economy.
- Government intervention, though well intentioned can lead to negative outcomes in the sector. For example, maize farming in Zambia is highly

incentivised which discourages farmers from farming other products. Other restrictions like export restriction discourage some farmers from investing.

- Small scale farmers have limited access to credit. Most of the credit dedicated to the agricultural sector is taken up by large scale farmers.
- The Zambian agricultural sector has a very low adoption of technologies such as tractors. Most of the farming in the country is done by manual labour. According to a paper by IGC, only about 2% utilize factor services.
- Most Zambian farmers are dependant on rain to water their crops and only about 1% use irrigation systems. Climate change makes this issue worse, as Zambia will continue to get hotter, more investment needs to be made towards irrigation systems. Amongst its neighbours, Zambia has the highest irrigation potential.